

Calendar Line 2

Case Name: *VELOCITY INVESTMENTS LLC v. MICHAEL D. CORPUZ*

Case No.: 25CV481128

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant Michael D. Corpuz demurs to the complaint on the grounds that it fails to allege facts sufficient to state a claim for breach of contract and is uncertain. (Notice of Demurrer at 1:22-25)

Defendant's demurrer came on for hearing on September 16, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

Velocity is a debt buyer as defined in Civil Code section 1788.50(a)(1) and holds California Debt Collector License Number 10229-99. (Complaint ¶¶ 5, 7)

On May 16, 2023, OneMain Financial Group, LLC issued a consumer loan to Corpuz under account number ending in 4619. Corpuz agreed to repay the loan pursuant to the terms of a Loan Agreement and Disclosure Statement. Corpuz breached the agreement by failing to make required payments; his last payment was October 8, 2024. (Complaint ¶¶ 6, 13-16)

The account was charged off on October 31, 2024, with a balance of \$16,368.10. Velocity purchased the debt from OneMain Financial Issuance Trust 2019-2 on January 29, 2025, and now solely owns the debt. Velocity seeks damages of \$16,368.10. (Complaint ¶¶ 8, 17)

Velocity initiated this action on December 1, 2025, alleging a single cause of action for breach of contract.

II. Legal Standard

"The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain." (C.C.P. § 430.10(e) & (f).)

A demurrer may be used by "[t]he party against whom complaint has been filed" to object to the legal sufficiency of the pleading as whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (C.C.P. §§ 430.10 & 430.50(a).)

A demurrer tests the legal sufficiency of the factual allegations in a complaint." (*Redfearn v. Trader Joe's Co.* (2018) 20 Cal. App. 5th 989, 996.) The court must determine "whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense." (*Ibid.*) The court

assumes "the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken." (*Ibid.*) Whether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer. (*Erlach v. Sierra Asset Servicing, LLC*, (2014) 226 Cal. App. 4th 1281, 1291.)

Courts "give the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (*Goncharov v. Uber Techs., Inc.* (2018) 19 Cal. App. 5th 1157, 1165.) Courts "construe the complaint 'liberally ... with a view to substantial justice between the parties[.]'" (*Ibid.*) "A demurrer must dispose of an entire cause of action to be sustained." (*Fremont Indem. Co. v. Fremont Gen. Corp.* (2007) 148 Cal. App. 4th 97, 119.)

Under Code. Civ. Proc. § 430.10(f), a demurrer may also be sustained if a complaint is uncertain i.e., ambiguous and unintelligible. Demurrers for uncertainty are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond. A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures. (See, *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695; internal citation and quotes omitted.)

Even if a demurrer is sustained, leave to amend the complaint is routinely granted under California law. "Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) "Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not." (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

III. Preliminary Considerations

In support of its opposition to the demurrer, Velocity submits declaration of Sarkis Karayan to establish that no post-charge-off interest or fees were imposed or are sought. This declaration is impermissible extrinsic evidence that cannot be considered to resolve the pleading confusion or the demurrer. A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; *SKF Farms, supra*, 153 Cal.App.3d at 905)

Meanwhile, Corpuz asks the Court – in his reply - to disregard the opposition in its entirety because Velocity elected to mail its opposition instead of serving it electronically, thus constructively changing his reply's due date to only two days before the hearing. (Reply at 2:9-15)

The Court notes that Corpuz filed his reply timely on September 8, 2026, contesting the merits of Velocity's opposition, despite his claim of inadequate service and notice. It is well settled that a party's opposition to a motion on its merits is a waiver of any defects or irregularities in the notice of the motion. This rule applies even when no notice was given at all. (*Carlton v. Quint*, (2000) 77 Cal. App. 4th 690, 697.) Applying this rule to Corpuz's reply, the Court concludes that any inadequacy in the service of the opposition is waived. Therefore, the Court exercising its discretion considers the merits of Velocity's opposition.

IV. Analysis

To allege a cause of action for breach of contract, a plaintiff must allege (1) existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) "A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions." (*Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 993; internal citation and quotes omitted)

Here the complaint alleges all elements of a breach of contract claim. The attached Loan Agreement and Disclosure Statement establishes the existence of a contract and its terms. Velocity alleges that OneMain made the loan, Corpuz agreed to repay it, Corpuz failed to make the required payments, and the unpaid principal is \$16,368.10. (Complaint ¶¶ 13-17) These allegations state a conventional contract claim.

Corpuz criticizes paragraph 15 of the complaint, which contains generic references to "purchases," "cash advances," and "balance transfers." This language is surplusage. Paragraphs 6 and 13 through 14 and Exhibit A make clear that the transaction is a closed-end OneMain consumer loan, not a revolving credit account. The generic language does not negate the specific loan allegations or prevent Corpuz from answering. Read as a whole and liberally construed, the complaint sufficiently identifies the nature of the debt and transaction.

Corpuz goes on to argue that the complaint is not viable because it fails to plead facts showing: (1) added post-charge-off interest or fees to the balance sought as required by Civ. Code, § 1788.58; (2) a pre-litigation notice prior to filing the suit as required by Civ. Code, § 1788.52; (3) notice of intent to sell, commercial reasonableness of the sale, or post-sale accounting to recover a deficiency, as required by Civ. Code § 2983.2 (the Rees-Levering Act) and the Unified Commercial Code ("UCC") §§ 9626, 9610; and (4) how the amount demanded was calculated thus leaving the complaint uncertain. Corpuz emphasizes that Velocity is a debt buyer seeking to recover a deficiency balance on a repossessed motor vehicle loan without complying with the repossession and deficiency statutes.

However, Corpuz's arguments fail for the following reasons:

- 1. THE REPOSSESSION AND DEFICIENCY STATUTES DO NOT APPLY BECAUSE NO DISPOSITION OF THE COLLATERAL IS ALLEGED. NEITHER THE COMPLAINT NOR EXHIBIT A ALLEGES THAT THE VEHICLE WAS REPOSSESSED, SURRENDERED, RETAINED, OR DISPOSED OF. ON DEMURRER, THE COURT CONSIDERS ONLY THE PLEADING, ITS EXHIBITS, AND MATTERS PROPERLY SUBJECT TO JUDICIAL NOTICE—NOT NEW FACTUAL ASSERTIONS APPEARING ONLY IN THE DEFENDANT'S MEMORANDUM. (SEE, *EVANS V. CITY OF BERKELEY* (2006) 38 CAL.4TH, 1, 6.)**
- I. THE DISTINCTION MATTERS BECAUSE THE NOTICE AND COMMERCIAL-REASONABLENESS RULES INVOKED BY CORPUZ ARISE UPON DISPOSITION OF COLLATERAL AFTER DEFAULT. CIVIL CODE SECTION 2983.2(A) REQUIRES 15 DAYS WRITTEN NOTICE OF INTENT TO DISPOSE OF A REPOSSESSED OR SURRENDERED MOTOR VEHICLE. (CIV. CODE § 2983.2) FINANCIAL CODE SECTION 22328 SIMILARLY APPLIES TO DISPOSITION OF A REPOSSESSED OR SURRENDERED MOTOR VEHICLE. (FIN. CODE § 22328) UCC SECTION 9626 PROVIDES THAT IN A CONSUMER TRANSACTION THE SECURED PARTY BEARS THE BURDEN OF PROVING ARTICLE 9 COMPLIANCE IN**

AN ACTION IN WHICH A DEFICIENCY OR SURPLUS IS AT ISSUE. THAT RULE PRESUPPOSES AN ACTUAL DISPOSITION OF COLLATERAL AND A RESULTING DEFICIENCY OR SURPLUS.

Here, the Complaint seeks the unpaid contract balance; it does not allege a deficiency remaining after disposition. A demurrer cannot be sustained based on statutory prerequisites triggered only by an event the pleading does not allege. The fact that the loan agreement grants a security interest in a vehicle does not, without more, convert a claim for unpaid principal into a deficiency claim subject to the notice and disposition requirements of Civil Code section 2983.2 and Financial Code section 22328.

Bank of America v. Lallana, (1998) 19 Cal. 4th 203, relied upon by Corpuz, is distinguishable for the same reason. In *Lallana*, the vehicle had been repossessed and sold, the creditor had sent a notice of sale, and the dispute concerned whether the actual sale complied with the governing notice requirements. *Lallana* does not hold that every complaint on a vehicle-secured loan must allege repossession, sale, notice, accounting, and commercial reasonableness when no disposition is alleged.

Corpuz has not placed the triggering facts—repossession, sale, or other disposition—in issue through the pleadings. If Corpuz properly places an actual disposition at issue during the litigation, Velocity will then bear the proof required by Commercial Code section 9626. The statute does not permit the Court to assume the triggering facts on demurrer.

- 2. CIVIL CODE SECTION 2983.2 IS INAPPLICABLE BECAUSE IT DOES NOT APPLY TO LOANS MADE BY LENDERS LICENSED UNDER DIVISION 9 OF THE FINANCIAL CODE. SECTION 2983.2(D) STATES: "THIS SECTION DOES NOT APPLY TO A LOAN MADE BY A LENDER LICENSED UNDER DIVISION 9 (COMMENCING WITH SECTION 22000) OF THE FINANCIAL CODE."**

Complaint's Exhibit A identifies OneMain Financial Group, LLC as the lender and displays "License No. 60DBO-90929." While the exhibit does not explicitly state that this is a Division 9 finance lender license, the notation appears in the "LENDER/SECURED PARTY NAME AND ADDRESS" box immediately above the lender's name. On demurrer, the Court accepts the reasonable inference that OneMain holds a finance lender license under Division 9. Corpuz does not address subdivision (d) in his demurrer. On the face of the incorporated agreement, Civil Code section 2983.2 supplies no basis to attack the pleading. Even if Financial Code section 22328, which applies to loans made by finance lenders, imposes comparable requirements, those requirements arise only upon disposition of a repossessed or surrendered motor vehicle—an event not alleged here.

- 3. VELOCITY HAS COMPLIED WITH THE REQUIREMENTS SET FORTH IN CIV. CODE, § 1788.52. PARAGRAPH 9 OF THE COMPLAINT ALLEGES EXACTLY THAT: "PLAINTIFF HAS COMPLIED WITH CIVIL CODE § 1788.52." (COMPLAINT ¶ 9) WHILE CORPUZ ARGUES THE ALLEGATION LACKS FACTUAL DETAIL ABOUT TIMING AND METHOD OF NOTICE (DEMURRER 3:7-13), A COMPLAINT NEED ONLY ALLEGE ULTIMATE FACTS SUFFICIENT TO APPRISE CORPUZ OF THE BASIS FOR THE CLAIM; EVIDENTIARY FACTS ARE NOT REQUIRED. ((DOE V. CITY OF LOS ANGELES (2007) 42 CAL.4TH 531, 550.)) THE FACT OF COMPLIANCE WITH § 1788.52 IS AN ULTIMATE FACT; THE SPECIFIC DATE, METHOD, AND CONTENT OF THE NOTICE ARE EVIDENTIARY DETAILS MORE APPROPRIATELY ADDRESSED THROUGH DISCOVERY OR AT TRIAL.**

Moreover, the attached loan agreement satisfies the Civ. Code § 1788.52 requirement to identify the contract or document evidencing the debt.

- 4. THE COMPLAINT IS NOT UNCERTAIN SINCE IT PROVIDES SUFFICIENT DETAIL FOR CORPUZ TO FRAME A RESPONSE. THE COMPLAINT IDENTIFIES THE CLAIMANT, THE ORIGINAL LENDER, THE ACCOUNT, THE NATURE AND DATE OF THE TRANSACTION, THE GOVERNING AGREEMENT, THE LAST-PAYMENT DATE, THE CHARGE-OFF DATE, THE CHARGE-OFF BALANCE, THE AMOUNT DEMANDED, AND THE CONDUCT CONSTITUTING BREACH. CORPUZ'S ASSERTIONS THAT THE COMPLAINT FAILS TO ALLEGE WHETHER THE COLLATERAL WAS REPOSSESSED AND HOW THE DEMAND AMOUNT WAS CALCULATED MISCHARACTERIZES THE PLEADING. AS STATED ABOVE, THE COMPLAINT DOES NOT ALLEGE REPOSSESSION OR SALE AND AS SUCH THERE ARE NO SALE PROCEEDS TO DISCLOSE. THE AMOUNT DEMANDED IS THE CHARGE-OFF BALANCE, WHICH IS EXPRESSLY ALLEGED. A DISPUTE OVER WHETHER A FACT-DEPENDENT DEFENSE MAY APPLY DOES NOT RENDER THE COMPLAINT UNCERTAIN UNDER CODE. CIV. PROC. § 430.10(F).**

The only plausible issue in Corpuz's demurrer is the omission of an express zero-dollar statement for post-charge-off interest and fees. Civ. Code § 1788.58(a)(4) requires the complaint to allege "the debt balance at charge off and an explanation of the amount, nature, and reason for all post-charge-off interest and fees, if any, imposed by the charge-off creditor or any subsequent purchasers of the debt" with "the charge-off balance, the total of any post-charge-off interest, and the total of any post-charge-off fees" identified separately. (Civ Code § 1788.58(a)(4).)

Nonetheless, the complaint alleges a charge-off balance of \$16,368.10 and seeks damages of exactly \$16,368.10. The amount demanded includes no post-charge-off interest or fees. Read as a whole and liberally construed, as the Court must, the pleading communicates that both post-charge-off categories are zero.

V. Conclusion & Order

Corpuz's demurrer to the complaint is OVERRULED.

Calendar Line 3

Case Name: Capital One, N.A., successor by merger to Discover Bank vs Quang D Nguyen

Case No.: 24CV453256

Motion for summary judgment: notice is proper, and the motion is unopposed. Upon review of the papers, the court concludes that plaintiff has met its initial burden of showing that there is no triable issue of material fact regarding the breach of contract cause of action, and that there is no defense to these causes of action. (Code Civ. Proc. § 437c, subd. (p).) The motion is GRANTED. The court will sign the proposed order and judgment served with the moving papers filed on 3/16/26.